

Questions for the Cross-Border Tax Advisor

US / Canada dual citizen • Ontario resident (remaining) • Sole owner of a Canadian federal corporation

My situation, in brief: US & Canadian citizen, Ontario tax resident and staying put. Personal \$1M CAD portfolio run as a systematic covered-call program (fully liquid, auto-reverts to cash on serious drops). ~\$132k CAD/yr pension. Sole owner and only practitioner of a **Canadian federal corporation** used for an open-source software project — up to **\$50k CAD/yr** of spending, run for 1–2 years then handed off or wound down. **No revenue is planned**; I would accept consulting if offered but will not solicit it. Project is publicly documented at deeperpoint.com.

Priority order below — Question 1 is the one I most need confirmed.

1 | US filings for my Canadian corporation (Form 5471 / CFC)

As a US citizen and sole owner of a Canadian corporation, am I meeting **all** US filing obligations for what the IRS treats as a Controlled Foreign Corporation — **Form 5471 every year**, and any related filings (GILTI / Form 8992, FBAR / FinCEN 114 for corporate accounts, Form 8938)?

- Does this apply **even though the company has no revenue**? (My understanding is yes, and that non-filing penalties are severe — \$10,000+ per form, per year.)
- Are my **prior years compliant**, or do I need a correction / streamlined filing to get current?

2 | Keeping the portfolio out of the corporation (PFIC)

My \$1M investment portfolio is held **personally**, not inside the corporation. Please confirm that is the correct structure to avoid US **PFIC** treatment and Canadian passive-income problems inside a CCPC — and that nothing about the covered-call program should move into the corp.

3 | OSS spending — deductibility and loss carryforwards

The corporation will spend up to \$50k/yr on the project with no current revenue.

- Are these **deductible business expenses**, or at risk of "no reasonable expectation of profit" / hobby recharacterization?
- Do the losses bank as **non-capital loss carryforwards** to offset any future consulting income?
- Does my stance of **accepting (but not soliciting)** consulting support the commercial-activity position?

4 | Is the corporation worth keeping?

Given I am not planning around revenue, does the corporation earn its keep, or does the US CFC / Form 5471 compliance burden outweigh the benefit?

- Weigh the **liability shield** (I publish software publicly) against the annual **cross-border filing cost**.
- Would operating as an **unincorporated sole proprietor** be cleaner, and if so, what's involved in winding the corporation down?

5 | Covered-call / option-premium taxation

My portfolio runs a systematic covered-call program generating option-premium income.

- How is that income taxed — **capital vs. income** treatment in Canada, and the corresponding **US** treatment?
- How do the two systems **coordinate** (foreign tax credits) so I'm neither double-taxed nor misreporting?

6 | Departure tax — parked, for future reference only

I plan to keep Ontario residency for now. But if I ever reconsider relocating abroad:

- What would the **deemed-disposition "departure tax"** on the portfolio's unrealized gains be, and how would it interact with my US tax position?
- *Not urgent — I just want the number on file so a future decision is informed.*

Prepared as a discussion agenda for a qualified US–Canada cross-border tax professional. Not tax advice; figures and assumptions to be verified against my actual returns and corporate records.